mentalism, from what I could find out, his success had less to do with religion than with math. In the few articles where he'd been quoted, he called it "picking up money off the floor." Apparently, he and his associates were not pure traders so much as they were arbitrageurs who avoided risk. Never would they have taken the positions I did, leaving themselves naked on one side of the market, whether short or long. They bought and sold both sides simultaneously à la Mr. Gressel, but in a much more complicated way.

Arbitrage is making an investment in one direction, covering yourself in another, and locking in a sure profit. Everything CRT did apparently was counterbalanced: They'd buy gold on one exchange and sell it on another, exploiting a tiny difference in price. They'd do the same with Treasury bonds, soybeans, or silver, looking for a guaranteed return—a tick here, a tick there—in each turnaround. With their own employees trading in the pits, with computers to track the prices, and with millions of dollars to pour into every arbitrage, CRT and Mr. Ritchey were getting richer and richer.

How rich I don't know. But great fortunes were being made by a handful of people in Chicago. If they weren't so shy about publicity, we already might know them as the latter-day Vanderbilts, the Jay Goulds, the Carnegies and Astors of our time. The more I learned about the few winners and many losers in commodities, the more I was convinced that never have so many given so much to so few. Futures and options may have created the greatest voluntary transfer payment in U.S. financial history.

My next question was: Why do we have these futures markets in the first place? Not having come up with a satisfactory answer for myself, I asked many of the exchange spokesmen. Their answer was "hedging." A great to-do was made of this hedging—which supposedly separated the futures markets from the racetracks and the roulette wheels, and gave them a social utility, an economic justification, and a noble sense of purpose, not to mention the numerous tax advantages this business had enjoyed over the years.

Booklets from both major exchanges went on for page after page with examples of hedging. I'll relate one. Let's say you're the Hershey company and worried the price of cocoa is going up.